IC Memo - Zeckathon PS-01: India capital-market infrastructure | Recommendation: CAMS (relative winner) - conditional accumulation, INR 0 deployed at CMP

Price date 2026-10-29: Yahoo NSE daily bar / last trade at 15:29 IST (not cross-checked to the NSE bhavcopy). All figures INR; generated by run_all.py from cached, sourced data (data/sources.csv). Assumptions labelled in config/assumptions.yaml.

1. Recommendation

CAMS is the best of the four on every model metric: highest probability-weighted 12-month return, smallest gap between CAPM Ke (13.2%) and market-implied Ke (11.2%), and zero direct exposure to the derivatives-turnover shock. **12-month target price INR 539** (base DCF rolled forward at Ke, net of dividends) vs CMP INR 696.95: **-23%**; bear INR 340 (-51%), bull INR 705 (+1%). Honest read: at today's price none of the four clears our cost of equity; the market is pricing CAMS at ~11.2% Ke. For a long-only mandate this means: CAMS is the stock to own in this group, but **not at today's price**. INR 500 cr is committed only through model-derived entry bands (Section 5); at CMP nothing is bought. Expected deployment is INR 139 cr by 6 months and INR 208 cr by 12 months (volatility model; INR 145 cr on CAMS's own 5y history); the rest stays in liquid funds and is released back to the fund if bands are not reached by the 12-month review.

2. Comparable valuation (identical engine, drivers and CAPM method for all four)

	CMP	Beta	Ke	DCF/sh	TP base	vs CMP	TP bear	TP bull	PW ret	Impl. Ke	P/E 28E	EV/EB 28E	ROCE 26	CFO/PAT
CAMS	697	1.24	13.2%	490	539	-23%	340	705	-21%	11.2%	29.5x	19.6x	47%	1.14x
KFINTECH	860	1.31	13.6%	506	560	-35%	306	771	-34%	10.9%	32.1x	21.8x	29%	1.15x
BSE	3502	1.37	13.9%	1347	1503	-57%	1046	1869	-57%	9.1%	43.9x	33.3x	60%	1.34x
CDSL	1282	1.63	15.2%	321	358	-72%	237	456	-72%	8.5%	56.5x	40.8x	32%	1.00x

Ke = (10y G-sec 7.40% - India CDS 0.66%) + Blume beta (3y weekly vs Nifty 50) x ERP 5.23% (Damodaran Jan-2026, CDS-based); WACC = Ke (net-cash). FCFF: FY27E (reported YTD + run-rate) to FY31E explicit, 10-year linear fade to g = 6.5%, Gordon terminal. Equity = EV + owned net cash (clearing/SGF/trust funds excluded) + associates (BSE's 15% CDSL stake at market) - NCI - debt-like - dividends paid since balance-sheet date. Ke decision (cross-examined, not tuned): CAMS's regression beta 95% CI is 0.99-1.49; the beta its price implies is 0.86 (outside that CI). Damodaran India industry betas inside the CI: 'Information Services' 1.02 -> TP INR 646 (CMP 697). Base case keeps the regression beta (Appendix B3). PW = 25/50/25 bear/base/bull. P/E and EV/EBITDA are cross-checks only; FY28E P/E at CMP: CAMS 29x, KFin 32x, BSE 44x, CDSL 57x.

3. Why the other three are less attractive

BSE: best franchise momentum (ROCE 60%) but ~65% of FY26 revenue is equity derivatives; the 30% turnover stress alone cuts the TP to INR 1339. Implied Ke 9.1% means the price already assumes the post-SEBI/RBI/STT regime normalises; CEO retires Jun-2027. **CDSL**: richest multiple (P/E FY28E 57x) on falling FY26 EPS; implied Ke only 8.5% -> worst risk/reward. **KFin**: faster growth (21% EPS CAGR FY27-29E) but ranks #2 because of higher debtor days (76), acquisition goodwill, an unverified INR 676 cr earn-out-type liability and a General Atlantic supply overhang (14.06% left); bear TP -64% vs CMP.

4. Moat, financial quality, governance

CAMS: 67.2% MF AAUM share, multi-year AMC contracts, high switching costs; ROCE 47%, CFO/PAT 1.14x (FY24-26), no promoter, related-party dealings limited to KMP pay (AR Note 30). Flags: intangibles under development up from INR 38 cr to INR 88 cr and INR 123 cr capital commitments for the new RTA platform (capitalisation and migration risk); TER-to-BER regime (Apr-2026) keeps yield pressure on. Integrated 3-statement model: balance sheet balances every year FY27-31E (max |check| 1.1e-12), CF closing cash = BS treasury, FCFF identical to DCF engine.

CAMS 3-statement (INR cr)	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	1580	1788	2026	2297	2608
EBITDA	731	847	982	1139	1323
PAT	508	591	687	798	929
EPS (INR)	20.4	23.7	27.5	32.0	37.3
CFO	607	692	800	927	1075
FCFF (3S = DCF engine)	427	487	569	664	775
Closing treasury (CF = BS)	965	1084	1224	1388	1580
Total assets	1973	2185	2430	2714	3044
Assets - liabilities - equity	-0.00	-0.00	-0.00	-0.00	-0.00

5. Deploying INR 500 cr (~2.9% of CAMS market cap)

Tranche	INR cr	Buy at/below	Fall vs CMP	P(touch) 6m	P(touch) 12m	Hist. 12m	Days to fill	Band basis
T1 starter	100	637	-9%	67%	76%	70%	5	bull value today; after Q2 FY27 results
T2	150	564	-19%	32%	48%	34%	7	mid of bull and base value
T3	250	490	-30%	10%	24%	9%	11	base value today

P(touch) = probability the price trades at or below the band within the horizon: driftless log-normal, sigma 30% (252-day); 'Hist.' = share of all 12-month windows in CAMS's 2021-2026 daily history that touched the same % fall. Liquidity: ADV INR 109 cr (NSE+BSE, 60 sessions); at 20% participation the full INR 500 cr needs ~23 sessions once bands are hit. **Fallback**: undeployed capital sits in overnight/liquid funds (not an index proxy - every listed peer is above our value); hard review at 6 months (after Q4 FY27 results): bands are re-computed from the re-run model, never lowered or raised by hand; capital still undeployed at 12 months is returned to the fund rather than forced into the stock. Buying a starter at CMP is rejected: probability-weighted 12m total return at CMP -21%.

Catalysts: Q2 FY27 results / analyst meets (Nov-2026); SIP and equity-AAUM growth; non-MF (KRA, insurance repository, AIF/PMS) scaling at 20%; go-live of the re-architected RTA platform; any easing of AMC fee pressure.

Risks: equity drawdown (asset-based fees 74% of revenue); AMC yield cuts under BER; client migration to KFin; platform-migration cost overruns; a market de-rating of the whole sector (our Ke already exceeds the implied one).

Exit / revisit triggers: (1) MF AAUM market share below 65% for two consecutive quarters or loss of a top-10 AMC -> exit; (2) asset-based revenue growth more than 5pp below AAUM growth for two quarters (yield compression) or EBITDA margin below 42% -> revisit/trim; (3) price above bull TP INR 705 without bull-case drivers visible -> trim to zero.

6. Bear case (brief-mandated) and isolated stresses

Scenario	Ticker	Rev FY28E	EBITDA m FY28E	EPS FY28E	TP	vs CMP
base	CAMS	1788	47.4%	23.6	539	-23%
bear	CAMS	1637	43.8%	20.0	340	-51%
deriv_only	CAMS	1788	47.4%	23.6	539	-23%
equity_only	CAMS	1682	44.9%	21.1	482	-31%
base	KFINTECH	1757	39.8%	26.8	560	-35%
bear	KFINTECH	1618	35.4%	21.8	306	-64%
deriv_only	KFINTECH	1757	39.8%	26.8	560	-35%
equity_only	KFINTECH	1661	36.9%	23.3	486	-44%
base	BSE	6220	65.3%	79.8	1503	-57%

bear	BSE	5342	62.9%	67.2	1046	-70%
deriv_only	BSE	5594	63.7%	70.8	1339	-62%
equity_only	BSE	6117	65.1%	78.3	1477	-58%
base	CDSL	1308	47.8%	22.7	358	-72%
bear	CDSL	1199	43.5%	19.1	237	-81%
deriv_only	CDSL	1304	47.6%	22.5	356	-72%
equity_only	CDSL	1236	45.0%	20.3	321	-75%

Bear = derivatives turnover -30% AND equity market -20% as persistent level shifts from Q3 FY27, segment growth -3pp FY28-31, g -1pp. Each segment carries an explicit elasticity to derivatives turnover and to market level (config/assumptions.yaml); fixed costs do not flex, so margins compress.

7. Sensitivity discipline (CAMS 12m TP, INR; every cell a full model re-run)

WACC \ g	5.0%	5.5%	6.0%	6.5%	7.0%	7.5%
11.2%	624	661	705	759	825	908
12.2%	539	565	595	630	671	722
13.2%	475	494	515	539	567	600
14.2%	426	440	455	473	493	516
15.2%	386	397	409	422	437	453

Driver (low / high)	TP low	TP high	Range
Growth FY28-31 -/+3pp	416	690	274
Beta +/-0.2	470	634	164
Ke +/-100bp	473	630	157
Fixed-cost growth 13%/7%	492	583	92
Equity market -20%/+10%	482	568	86
Capex % rev +2pp/-2pp	503	575	72

Also in outputs/: ERP x beta, AAUM-growth x market-shock (BSE: ADTV x realisation) grids for all four, scenario-weight sensitivity. Reading: CAMS TP exceeds CMP in 5 of 30 WACC/g cells, all at WACC 11.2% - the price embeds a low discount rate.

8. Data gaps / unresolved (marked, not estimated silently)

Q2 FY27 results for BSE/CDSL/CAMS not yet released (run-rates use Q1); CAMS FY26 segment split approximated from Q1/Q4 FY26 mix; KFin variable-cost share assumed 10%; KFin INR 676 cr non-current financial liability composition unverified; CDSL other current financial liabilities deducted conservatively; dividend payment dates assumed before price date; BSE Q2 ADTV is broker (HSIE) data; ADV from Yahoo (NSE+BSE), not exchange bhavcopies.